

Company, Ltd., 308 U.S. 106 (decided Nov. 6, 1939). The court ruled that a plan of reorganization under Section 77B was not “fair and equitable” where, with the corporation involved insolvent, the full value of the property available was not first applied to claims of bondholders before stockholders were allowed to participate.

NOTE 33

FINANCIAL INVESTING COMPANY 5s DUE 1932 AND 1940

An example taken from the investment-trust field will show how the inclination of the trustee to avoid positive action on its own initiative operates to deprive the bondholder of the safeguards which he is apparently justified in counting on when he makes his commitment.

Financial Investing Co. of New York sold two 5% collateral-trust issues, due respectively in 1932 and 1940. These bonds were secured by deposit with the trustee of listed securities, diversified in accordance with stringent requirements. The company covenanted to maintain such collateral at a value of at least 120% of the outstanding bonds. The trustee was empowered: (1) to give notice to the corporation in the event the required margin was impaired; (2) to declare the principal due if the deficiency was not remedied within 30 days; and (3) to sell the collateral in such event and apply the proceeds to payment of principal and interest.

These covenants appeared to give the bondholders practically the same protection as is enjoyed by a bank making a collateral loan on marketable securities. If the stipulated margin became impaired and was not made good, the collateral could be sold out to satisfy the loan. The only important difference appeared to be the allowance in the bond indenture of a 30-day period to restore the margin to the required percentage.

But the actual history of the Financial Investing issues was strikingly at variance with that of the typical collateral loan made by banks during the same period. In October 1931 the margin fell below 20% and the trustee advised the corporation of this “event of default.” The margin was not made good within the thirty days, but the collateral was not sold. In August 1932 the bid price for the bonds fell as low as 20. In October 1932 the principal of one issue matured and was not paid. This event compelled action; the collateral securing both issues was sold out; and in January 1933, 15 *months* after the “margin call,” the bondholders finally received about 65 cents on the dollar.

We see here a wide discrepancy between the apparently effectual safeguards accorded the bondholders in their indenture and the highly unsatisfactory results that they actually experienced—*viz.*, a substantial loss, a long delay and a